

**BUSINESS READY COMMUNITY – BUSINESS COMMITTED
LOAN AND SECURITY AGREEMENT**

This **BUSINESS READY COMMUNITY – BUSINESS COMMITTED LOAN AND SECURITY AGREEMENT** (this “Agreement”) is made as of the _____ day of _____, 2014, between **CITY OF CHEYENNE, a Wyoming municipal corporation**, whose principal office and mailing address is located at 2101 O’Neil Avenue, Cheyenne, WY 82001 (the “**City**”), and **WYOMING BUSINESS COUNCIL (the “Council”), a body corporate organized under the laws of the State of Wyoming and operating as a state instrumentality operated solely for the public benefit**, whose principal office and mailing address is located at 214 West 15th Street, Cheyenne, Wyoming 82001.

Explanatory Statement

- A. City has made a loan to Granite Peak Development Limited Partnership, a Wyoming limited partnership formerly known as Granite Peak Development, LLC, a Wyoming Limited Liability Company (“Granite”), in the stated principal sum of \$3,000,000 (the “Granite Loan”), as evidenced by a Non-Negotiable Promissory Note dated as of even date made by Granite and the City and guaranteed by Rich Fairservis (the “Guarantor”), all in connection with the project (the “Project”) to construct railways, spurs, and switching and related facilities to serve the Swan Ranch Rail Park (the “Park”) in Cheyenne, Wyoming.
- B. The City, the Cheyenne-Laramie County Corporation for Economic Development (Cheyenne Leads), a Wyoming non-profit corporation and statutorily-authorized community development organization (“LEADS”), and Granite will construct the Project in accordance with an undated Amended and Restated Project Development and Administration Agreement (the “Development Agreement”) made among them.
- C. During construction and afterward during the pendency of the Granite Loan, the City will own the project improvements pursuant to an Assignment of Ownership of Rail, Ties, and all Related Rail Equipment (the “Rail Ownership Assignment”) installed pursuant to Amended And Restated Project Development and Administration Agreement dated as of even date herewith.
- D. Pursuant to a Rail Road Right of Way Easement made as of even date herewith and recorded on _____, 2014, in Book ____ at Page ____ among the Real Estate Records of the County Clerk for Laramie County, Wyoming (the “Rail Easement Agreement”), made by Swan Ranch, LLC, a Wyoming limited liability company (“Swan”), and Clear Creek Land Company LLC, a Wyoming limited liability company (“Clear Creek”), the City will be the owner, for a term of ten (10) years from the date hereof, of a non-exclusive easement (the “Rail Easement”) for a rail road line and corridor in Parcels 2, 3, and 4, as described and shown on Exhibits A, B, and C to Schedule 1 hereof, which schedule and exhibits are incorporated herein by this reference, subject to the rights of Granite, Swan, CLH, LLC, a Wyoming limited liability company (“CLH”), and any related entity to an exclusive option to acquire the rail, ties, and all related rail equipment installed pursuant to the Development Agreement and all of the City’s right, title, and interest in the Rail Easement.

- E. The City has entered into a Track Lease Agreement for Rail Facilities Within Swan Ranch Rail Park, Cheyenne, Wyoming (the "Track Lease Agreement"), with CLH and Granite under which CLH will lease the City's rail facilities within the Park to serve various business enterprises now or to be located within the Park.
- F. The City has applied for, and been approved by the Council for, a Wyoming Business Ready Community-Business Committed Loan in the maximum principal sum of Three Million Dollars (\$3,000,000) (the "Loan"). The City of Cheyenne will distribute the proceeds of the Loan to Granite pursuant to the terms of the Development Agreement, among other documents, which proceeds are required to be used exclusively to fund a portion of the costs of construction of the Project.
- G. The Granite Note is secured, in part, by a Mortgage (the "Mortgage") upon the lands described as Parcel 1 on Schedule 1 hereto granted to the City by Swan and Clear Creek.
- H. The City's obligations to repay the Loan to the Council is evidenced by a Promissory Note (the "Note") of even date herewith made in the maximum principal sum of the Loan.
- I. As collateral security for the City's obligations under the Note, this Agreement, and the other Loan Documents, the City, and others, have entered into the following instruments:
 - 1) a Collateral Assignment of Note and Mortgage, wherein the City has assigned all of its interest in and to the Granite Note and the Mortgage to the Council;
 - 2) a Collateral Assignment of Railroad Easement and Track Lease, wherein the City has assigned all of its interest in and to the Rail Easement Agreement and the Track Lease Agreement to the Council;
- J. Under the terms of this Agreement, the Council desires to establish the terms and conditions upon which it will loan the Loan Proceeds to the City in periodic advances as construction progresses, and to additionally secure its performance of the Loan, the City desires to grant to the Council a security interest in and to all of the Collateral (defined below).

NOW, THEREFORE, in consideration of the Explanatory Statement (which is a substantive part hereof) and other good and valuable consideration, the City, intending to be legally bound, agrees as follows:

1. Definitions.

1.1. "*Collateral*" shall include all of the City's interest in and to the personal property described on Schedule 2 attached hereto and made a part hereof by this reference.

1.2. "*Collateral Assignments*" means the Collateral Assignment described in Paragraph I of the Explanatory Statement.

1.3. "*Loan Documents*" means the Note (as defined above), the Collateral Assignments, this Agreement, and all other documents, certificate, instruments, applications, opinions, and other writings evidencing, securing, executed, or otherwise made or delivered in connection with the Loan.

1.4. “*Grant Agreement*” means the Business Ready Community Grant and Loan Program Grant Agreement between the Council and the City of even date herewith evidencing that \$2,000,000 grant made by Council to the City for funding a portion of the Project costs.

1.5. “*Note*” is defined in the Explanatory Statement

1.6. “*Obligations*” means all debts, liabilities, obligations, covenants and duties owing from the City to the Council under the Loan, whether now due or to become due (including any interest accruing on the Note after maturity, or after the filing of any petition in bankruptcy or like proceeding relating to the City), whether evidenced by, secured by, or otherwise arising under or out of the Loan, the Note, this Agreement, or any other Loan Document and all costs and expenses of the Council incurred in the enforcement, collection or otherwise in connection with any of the foregoing, including reasonable attorneys’ fees and expenses.

1.7. “*UCC*” means the Wyoming Uniform Commercial Code, as amended from time to time. Terms used herein that are defined in the UCC and not otherwise defined herein shall have the respective meanings ascribed to such terms in the UCC.

2. **Grant of Security Interest.** To secure the Obligations, the City hereby assigns and grants to the Council a continuing lien on and security interest in the Collateral.

3. **Change in Location of Collateral.** The City hereby agrees that if the location of the Collateral changes from the locations listed on Schedule 1, attached hereto and made part hereof by this reference, the City will immediately notify the Council in writing of the additions or changes.

4. **Representations and Warranties.** The City represents, warrants and covenants to the Council that: (a) the City has good, marketable and indefeasible title to the Collateral, has not made any prior sale, pledge, encumbrance, assignment or other disposition of any of the Collateral, and the Collateral is free from all encumbrances and rights of setoff of any kind except the lien in favor of the Council; (b) except as herein provided, the City will not hereafter without the Council’s prior written consent sell, pledge, encumber, assign or otherwise dispose of any of the Collateral or permit any right of setoff, lien or security interest to exist thereon except to the Council; and (c) the City will defend the Collateral against all claims and demands of all persons at any time claiming the same or any interest therein.

5. **City’s Covenants.** The City covenants that it shall:

5.1. From time to time and at all reasonable times allow the Council, by or through any of its officers, agents, attorneys, or accountants, to examine or inspect the Collateral, and obtain valuations and audits of the Collateral, at the City’s expense, wherever located. The City shall do, obtain, make, execute and deliver all such additional and further acts, things, deeds, assurances and instruments as the Council may require to vest in and assure to the Council its rights hereunder and in or to the Collateral, and the proceeds thereof, including waivers from landlords, warehousemen and mortgagees;

5.2. Keep the Collateral in good order and repair at all times and immediately notify the Council of any event causing a material loss or decline in value of the Collateral, whether or not covered by insurance, and the amount of such loss or depreciation;

5.3. Only use or permit the Collateral to be used in accordance with all applicable federal, state, county and municipal laws and regulations, and in a manner consistent with any agreements with the Union Pacific and/or BNSF Railroads; and

5.4. Have and maintain insurance at all times with respect to all Collateral against such risks as the Council may reasonably require, in such form, in the minimum amount of the outstanding principal balance of the Note and written by such companies as may be reasonably satisfactory to the Council with deductibles acceptable to Council. Each such casualty insurance policy shall contain a standard lender's loss payable clause issued in favor of the Council under which all losses thereunder shall be paid to the Council as the Council's interest may appear. Such policies shall expressly provide that the requisite insurance cannot be altered or canceled without at least thirty (30) days prior written notice to the Council and shall insure the Council notwithstanding the act or neglect of the City. Upon the Council's demand, the City shall furnish the Council with evidence of insurance as the Council may require. In the event of failure to provide insurance as herein provided, the Council may, at its option, obtain such insurance and the City shall pay to the Council, on demand, the cost thereof. Proceeds of insurance may be applied by the Council to reduce the Obligations or to repair or replace Collateral, all in the Council's sole discretion.

5.5. If any of the Collateral is, at any time, in the possession of a bailee, City shall promptly notify Council thereof and, if requested by Council, shall promptly obtain an acknowledgment from the bailee, in form and substance satisfactory to Council, that the bailee holds such Collateral for the benefit of Council and shall act upon the instructions of Council, without the further consent of City.

6. Negative Pledge; No Transfer. The City will not sell or offer to sell or otherwise transfer or grant or allow the imposition of a lien or security interest upon the Collateral or use any portion thereof in any manner inconsistent with this Agreement or with the terms and conditions of any policy of insurance thereon.

7. Further Assurances. City hereby irrevocably authorizes Council at any time and from time to time to file in one or more financing statements and amendments thereto and continuations thereof. Should any of the Collateral be identifiable, the City shall give notice to the Council of such identifying information.

8. Disbursement of Loan Proceeds. The Council shall disburse the proceeds of the Loan to the City only as provided in this Section:

8.1. All construction shall be completed by June 30, 2016.

8.2. The Council will advance the proceeds of the Loan to the City for construction costs of the Project (including, without limitation, site work, materials, labor, utilities, and contingencies), as invoices are submitted for work done in connection with the Project, completed in accordance with the requirements of this Agreement, the Grant Agreement, and the BRC program. The total of all loan advancements to be made to the City under this Agreement shall not exceed Three Million Dollars (\$3,000,000).

8.3. The Council will release advances only after payment vouchers or invoices detailing services performed in connection with the Project have been approved by the City and delivered

in a form satisfactory to the Council for its review and approval. After receipt of cash requests and billing documentation, the Council will disburse the amounts of approved invoices at seventy-eight percent (78%), reflecting Granite's 22% equity match. Verification of all in-kind contributions must be submitted to the Council.

8.4. No advance shall be made for any services or materials provided in connection with the Project before the date on which the last required signature is affixed to this Agreement.

8.5. If the actual costs of the Project exceed the available funds indicated in Attachment B to the Grant Agreement, the City will have no obligation to pay for any additional cost of the Project.

8.6. If there is additional funding required to complete the Project, the City must provide to the Council all necessary information regarding the funding.

8.7. The City will be required to provide a letter from a qualified engineer certifying the construction completion of the Project and that all required construction standards were adhered to during the construction of the Project. The City will be required to provide information as requested by the Council about lease arrangements, job creation, additional investments, marketing, business recruitment, and business development efforts. All promotional and marketing information and materials created for the Project will be required to reference the Council as a funding partner. The City will cause Granite to provide all information necessary to it to facilitate the City's compliance with these requirements.

9. Events of Default. The City shall, at the Council's option, be in default under this Agreement upon the happening of any of the following events or conditions (each, an "Event of Default"):

9.1. a failure to pay any amount due under the Note or any Loan Document when due;

9.2. a failure by the City to perform any of its other obligations under the Grant Agreement;

9.3. the failure by the City to perform any of its other obligations under this Agreement or any other Loan Document within thirty (30) days of notice from Council of the same;

9.4. material falsity, inaccuracy or breach by the City of any written warranty, representation or statement made or furnished to the Council by or on behalf of the City;

9.5. an uninsured material loss, theft, damage, or destruction to any of the Collateral, or the entry of any judgment against the City or any lien against or the making of any levy upon, seizure of or attachment relating to the Collateral;

9.6. the failure of the Council to have at all times during which the Loan is outstanding, a perfected first priority security interest in the Collateral; or

9.7. the City becomes insolvent; or admits in writing its inability to pay its debts as they mature; or applies for, consents to or acquiesces in the appointment of a trustee, receiver or custodian for it or a substantial part of its property; or, in the absence of such application, consent or acquiescence, a trustee, receiver or custodian is appointed for the City or a substantial part of its property and is not discharged within sixty (60) days; or any bankruptcy,

reorganization, debt arrangement, moratorium, or any proceeding under any bankruptcy or insolvency law, or any dissolution or liquidation proceeding is instituted by or against the City and, if instituted against the City, is consented to or acquiesced in by the City or is not dismissed within sixty (60) days.

10. Remedies.

10.1. Upon the occurrence of any Event of Default and at any time thereafter, the Council may declare all Obligations secured hereby immediately due and payable and shall have, in addition to any remedies provided herein or by any applicable law or in equity, all the remedies of a secured party under the UCC.

10.2. The Council's remedies include, but are not limited to, to the extent permitted by law, the right to (a) peaceably by its own means or with judicial assistance enter the City's premises and take possession of the Collateral without prior notice to the City or the opportunity for a hearing, (b) render the Collateral unusable, (c) dispose of the Collateral on the City's premises, and (d) require the City to assemble the Collateral and make it available to the Council at a place designated by the Council.

10.3. Unless the Collateral is perishable or threatens to decline speedily in value or is of a type customarily sold on a recognized market, the Council will give the City reasonable notice of the time and place of any public sale thereof or of the time after which any private sale or any other intended disposition thereof is to be made. The requirements of commercially reasonable notice shall be met if such notice is sent to the City at least five (5) days before the time of the intended sale or disposition. Expenses of retaking, holding, preparing for sale, selling or the like shall include the Council's reasonable attorney's fees and legal expenses, incurred or expended by the Council to enforce any payment due it under the Loan Documents either as against the City, or in the prosecution or defense of any action, or concerning any matter growing out of or connection with the Loan and the Collateral pledged hereunder.

10.4. The City waives all relief from all appraisal or exemption laws now in force or hereafter enacted.

11. Payment of Expenses. At its option, the Council may, but is not required to: discharge taxes, liens, security interests or such other encumbrances as may attach to the Collateral; pay for required insurance on the Collateral; and pay for the maintenance, appraisal or reappraisal, and preservation of the Collateral, as determined by the Council to be necessary. The City will reimburse the Council on demand for any payment so made or any expense incurred by the Council pursuant to the foregoing authorization, and the Collateral also will secure any advances or payments so made or expenses so incurred by the Council.

12. Notices. All notices, demands, requests, consents, approvals and other communications required or permitted hereunder must be in writing and will be effective upon receipt. Such notices and other communications may be delivered as provided in the Note.

13. Preservation of Rights. No delay or omission on the Council's part to exercise any right or power arising hereunder will impair any such right or power or be considered a waiver of any such right or power, nor will the Council's action or inaction impair any such right or power.

The Council's rights and remedies hereunder are cumulative and not exclusive of any other rights or remedies which the Council may have under other agreements, at law or in equity.

14. General Provisions.

14.1. *Severability.* In case any one or more of the provisions contained in this Agreement should be invalid, illegal or unenforceable in any respect, the validity, legality and enforceability of the remaining provisions contained herein shall not in any way be affected or impaired thereby.

14.2. *Amendments.* Any changes, modifications, revisions, or amendments to the Loan which are mutually agreed upon by the parties to the Loan shall be incorporated by written instrument, executed and signed by all parties to the Loan.

14.3. *Entire Agreement.* This Agreement (including the documents and instruments referred to herein) constitutes the entire agreement and supersedes all other prior agreements and understandings, both written and oral, between the parties with respect to the subject matter hereof.

14.4. *Counterparts.* This Agreement may be signed in any number of counterpart copies and by the parties hereto on separate counterparts, but all such copies shall constitute one and the same instrument. Delivery of an executed counterpart of a signature page to this Agreement by facsimile transmission shall be effective as delivery of a manually executed counterpart. Any party so executing this Agreement by facsimile transmission shall promptly deliver a manually executed counterpart, provided that any failure to do so shall not affect the validity of the counterpart executed by facsimile transmission. The term "facsimile transmission" shall include images of documents sent by email.

14.5. *Successors and Assigns.* This Agreement will be binding upon and inure to the benefit of the City and the Council and their respective heirs, executors, administrators, successors and assigns; *provided, however*, that the City may not assign this Agreement in whole or in part without the Council's prior written consent and the Council at any time may assign this Agreement in whole or in part.

14.6. *Interpretation.* In this Agreement, unless the Council and the City otherwise agree in writing, the singular includes the plural and the plural the singular; words importing any gender include the other genders; references to statutes are to be construed as including all statutory provisions consolidating, amending or replacing the statute referred to; the word "or" shall be deemed to include "and/or", the words "including", "includes" and "include" shall be deemed to be followed by the words "without limitation"; references to articles, sections (or subdivisions of sections) or exhibits are to those of this Agreement unless otherwise indicated. Section headings in this Agreement are included for convenience of reference only and shall not constitute a part of this Agreement for any other purpose. If this Agreement is executed by more than one City, the obligations of such persons or entities will be joint and several.

14.7. *Governing Law; Jurisdiction; Venue.* This Agreement has been delivered to and accepted by the Council and will be deemed to be made in the State of Wyoming. The City hereby irrevocably consents to the exclusive jurisdiction of any state or federal court in Laramie County, Wyoming; *provided that* nothing contained in this Agreement will prevent the Council

from bringing any action, enforcing any award or judgment or exercising any rights against the City individually or against any security pledged by Granite located within any other county, state or other foreign or domestic jurisdiction. The Courts of the State of Wyoming shall have jurisdiction over the Loan and the parties, and the venue shall be the First Judicial District, Laramie County, Wyoming. The City waives any objection to venue and any objection based on a more convenient forum in any action instituted under this Agreement.

14.8. *Monitoring Activities.* The Council shall have the right to monitor all Loan related activities of the City and all Guarantors. This shall include, but not be limited to, the right to make site inspections at any time, to bring experts and consultants on site to examine or evaluate completed work or work in progress, and to observe all City personnel in every phase of performance of Loan related work.

14.9. *No Finder's Fees.* No finder's fee, real estate commission, or other similar fee or charge related to the procurement of the Loan shall be paid by either party.

14.10. *Audit/Access to Records.* The Council and its representatives shall have access to any books, documents, papers, electronic data and records of the City which are pertinent to the Loan. The City shall immediately, upon receiving written instruction from the Council, provide to any independent auditor or accountant all books, documents, papers, electronic data and records of the City which are pertinent to the Loan. The City shall cooperate fully with any such independent auditor or accountant during the entire course of any audit authorized by the Council.

14.11. *Availability of Funds; Subject to Appropriation; Agreement to Pursue Appropriations; No General Obligation.* Each payment obligation of the Council is conditioned upon the availability of government funds which are appropriated or allocated for the payment of this obligation. If funds are not allocated and available for continued performance of the Loan, the Loan may be terminated by the Council at the end of the period for which the funds are available. The Council shall notify the City at the earliest possible time of the services which will or may be affected by a shortage of funds. No penalty shall accrue to the Council in the event this provision is exercised, and the Council shall not be obligated or liable for any future payments due or for any damages as a result of termination under this section. This provision shall not be construed to permit the Council to terminate the Loan to acquire similar services from another party. In addition, the Council agrees, to the extent within its power and authority, to take all necessary steps and make timely requests for the appropriation of funds to fund and maintain all advances under the Loan and to use its reasonable efforts to cause such appropriations to be made. Under no circumstances shall the Council's obligations to fund the Loan be deemed, considered, interpreted, or construed to be a general obligation of the Council.

14.12. *Certificate of Good Standing.* The City shall provide to the Council a certificate of good standing, verifying compliance with the unemployment insurance and workers' compensation programs at all times the Loan is outstanding, as applicable.

14.13. *Compliance with Laws.* The City shall keep informed of and comply with all applicable federal, state, and local laws and regulations in the performance of its operations.

14.14. *Ethics.* City shall keep informed of and comply with the Wyoming Ethics and Disclosure Act (Wyo. Stat. § 9-13-101, *et seq.*), to the extent applicable to it and/or the Loan.

14.15. *Extensions/Renewals.* Nothing in the Loan shall be interpreted or deemed to create an expectation that the Loan will be extended beyond the Maturity Date under the Note.

14.16. *Force Majeure.* Neither party shall be liable for failure to perform under the Loan if such failure to perform arises out of causes beyond the control and without the fault or negligence of the nonperforming party. Such causes may include, but are not limited to, acts of God or the public enemy, fires, floods, epidemics, quarantine restrictions, freight embargoes, and unusually severe weather. This provision shall become effective only if the party failing to perform immediately notifies the other party of the extent and nature of the problem, limits delay in performance to that required by the event, and takes all reasonable steps to minimize delays. This provision shall not be effective unless the failure to perform is beyond the control and without the fault or negligence of the nonperforming party.

14.17. *Indemnification.* **Each party to this Loan Agreement shall assume the risk of any liability arising from its own conduct. Neither party agrees to insure, defend, or indemnify the other.**

14.18. *Nondiscrimination.* The City shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment Practices Act (Wyo. Stat. §27-9-105 et seq.), the Americans with Disabilities Act (ADA), 42 U.S.C. §12101, et seq., and the Age Discrimination Act of 1975 and/or any properly promulgated rules and regulations thereto and shall not discriminate against any individual on the grounds of age, sex, color, race, religion, national origin, or disability in connection with the performance under this agreement.

14.19. *Notice and Approval of Proposed Sale or Transfer.* The City shall provide the Council with the earliest possible advance notice of any proposed sale or transfer of any interest in any of the Collateral.

14.20. *Publicity.* Any publicity given to the projects, programs or services provided herein, including, but not limited to, notices, information, pamphlets, press releases, research, reports, signs, and similar public notices in whatever form, prepared by or for the City, shall identify the Council as the sponsoring agency and shall not be released without prior written approval from the Council.

14.21. *Sovereign Immunity.* The State of Wyoming and the Lender do not waive sovereign immunity by making the Loan and specifically retain all immunities and defenses available to them as sovereigns pursuant to Wyo. Stat. § 1-39-104(a) and all other applicable law. Designations of venue, choice of law, enforcement actions, and similar provisions should not be construed as a waiver of sovereign immunity. Except for the enforcement of the terms and conditions of this Agreement as between the parties, the City reserves all immunities and defenses available under the Wyoming Governmental Claims Act, Wyo. Stat. § 1-39-101, et seq., and all other applicable law. The parties agree that any ambiguity in any Loan Document shall not be strictly construed, either against or for either party, except that any ambiguity as to sovereign immunity shall be construed in favor of sovereign immunity.

14.22. *Taxes.* The City shall pay all taxes and other such amounts required by federal, state, and local law, including but not limited to, federal and social security taxes, workers' compensation, unemployment insurance, and sales taxes.

14.23. *Third Party Beneficiary Rights.* The parties do not intend to create in any other individual or entity the status of third party beneficiary, and the Loan shall not be construed so as to create such status. The rights, duties, and obligations under the Loan shall operate only between the City and the Council and shall inure solely to the benefit of them.

14.24. *Time is of the Essence.* Time is of the essence in all provisions of the Loan.

14.25. *Titles Not Controlling.* Titles of sections and subsections are for reference only and shall not be used to construe the actual language of the applicable provisions.

14.26. *Waiver.* The waiver of any breach of any term or condition in the Loan shall not be deemed a waiver of any prior or subsequent breach. Failure to object to a breach shall not constitute a waiver.

15. WAIVER OF JURY TRIAL. EACH OF THE CITY AND THE COUNCIL IRREVOCABLY WAIVES ANY AND ALL RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION, PROCEEDING OR CLAIM OF ANY NATURE RELATING TO THIS AGREEMENT, ANY DOCUMENTS EXECUTED IN CONNECTION WITH THIS AGREEMENT OR ANY TRANSACTION CONTEMPLATED IN ANY OF SUCH DOCUMENTS. THE CITY AND THE COUNCIL ACKNOWLEDGE THAT THE FOREGOING WAIVER IS KNOWING AND VOLUNTARY AND MADE AFTER AMPLE OPPORTUNITY TO CONSULT WITH THEIR RESPECTIVE LEGAL ADVISORS.

16. Non-General Obligation. This Agreement is for a loan from the Wyoming Business Council to the City of Cheyenne, as described below and in the identified attachments thereto. This Agreement and the any and all attachments thereto will not encumber, be chargeable, create or constitute a legal or moral obligation or debt of any kind on behalf of or against the City of Cheyenne and will not encumber or be chargeable against, the City's assets, general reserves, general funds, obligation funds, or any other revenues or properties whatsoever.

Without limiting the generality of the provisions of this Section, neither this Agreement nor any of the Loan Documents (i) shall result in the imposition of any debt upon the City in contravention of any constitutional or statutory limitations or requirements concerning the indebtedness of the City; (ii) shall constitute a pledge of or result in the imposition of any lien, charge or encumbrance upon any tax revenues, cash reserves, or other assets or revenues of the City; or (iii) shall, in the event of a default hereunder or thereunder, entitle the Council to, and the Council shall not have, the right to seek repayment of the principal or accrued interest due under the Loan, or any other sums payable under the Loan, from any source other than the collateral now or hereafter pledged by Granite or its affiliates to the City to secure the indebtedness contemplated by the Development Agreement.

IN WITNESS WHEREOF, the City has caused this Agreement to be executed by its Mayor and attested by it City Clerk, all as of the date first written above.

ATTEST:

CITY OF CHEYENNE

By: _____
Carol Intlekofer, City Clerk

By: _____
Richard L. Kaysen, Mayor

WYOMING BUSINESS COUNCIL

By: _____
Mark Willis
Interim Chief Executive Officer

By: _____
Molly Spangler, Director
Investment Ready Communities

Approved as to Form Only:

Michael Robinson
Senior Assistant Attorney General

STATE OF WYOMING
COUNTY OF LARAMIE

This instrument was acknowledged before me on this _____ day of May, 2014, by **RICHARD L. KAYSEN, the Mayor of CITY OF CHEYENNE.**

Notary Public
My Commission Expires: _____

STATE OF WYOMING
COUNTY OF LARAMIE

This instrument was acknowledged before me on this _____ day of May, 2014, by **MARK WILLIS, the Interim Chief Executive Officer, and MOLLY SPANGLER, the Director Investment Ready Communities, of WYOMING BUSINESS COUNCIL.**

Notary Public
My Commission Expires: _____

SCHEDULE 1

LOCATIONS OF THE COLLATERAL

Parcel 1:

The following is a description for a parcel of land located in the East half (E½) of Section 28, Township 13 North, Range 67 West of the 6th Principal Meridian, and the Northwest quarter (NW¼) of Section 27, Township 13 North, Range 67 West of the 6th Principal Meridian, Laramie County, Wyoming, being more particularly described as follows:

Considering the south line of said Section 27 as bearing S 89°50'47" E a distance of 5306.59 feet with all bearings herein relative thereto.

Commencing at the southwest corner of said Section 27, thence N 33°37'15" W at a distance of 1977.56 feet to a point on the northwesterly line of Berwick Road as platted in Swan Ranch Rail Park First Filing as recorded at the Laramie County clerk and recorder, thence leaving said Berwick Road Right of Way N 10°24'33" W a distance of 1213.02 feet to a point on the east Right of Way line of the Union Pacific Railroad, thence continuing along the east Right of Way line of said Railroad N 10°24'33" W a distance of 2097.90 feet to a the beginning of a non-tangent curve concave to the north, said curve having a radius of 889.49 feet, a central angle of 101°05'47", a chord which bears S 80°25'13" E at a distance of 1373.66 feet, thence leaving said Rail Road Right of Way continuing along the arc of said curve 1596.47 feet to a point of tangency, thence N 49°01'54" E a distance of 665.29 feet to a point, thence S 10°24'13" E a distance of 921.78 feet to a point, thence S 57°06'35" E a distance of 161.64 feet to a point, thence S 32°18'08" W a distance of 19.36 feet to a point of intersection with the northeasterly Right of Way of Tundra Drive and the northwesterly Right of Way of Berwick Drive as platted on said Swan Ranch Rail Park First Filing. Thence along said Right of Way of Berwick Drive S 32°18'08" W a distance of 2879.73 feet to the beginning of a curve concave to the southeast, said curve having a radius of 550.00 feet, a central angle of 02°20'02", a chord which bears S 31°08'07" W a distance of 22.40 feet, thence along said curve 22.40 feet to the point of beginning.

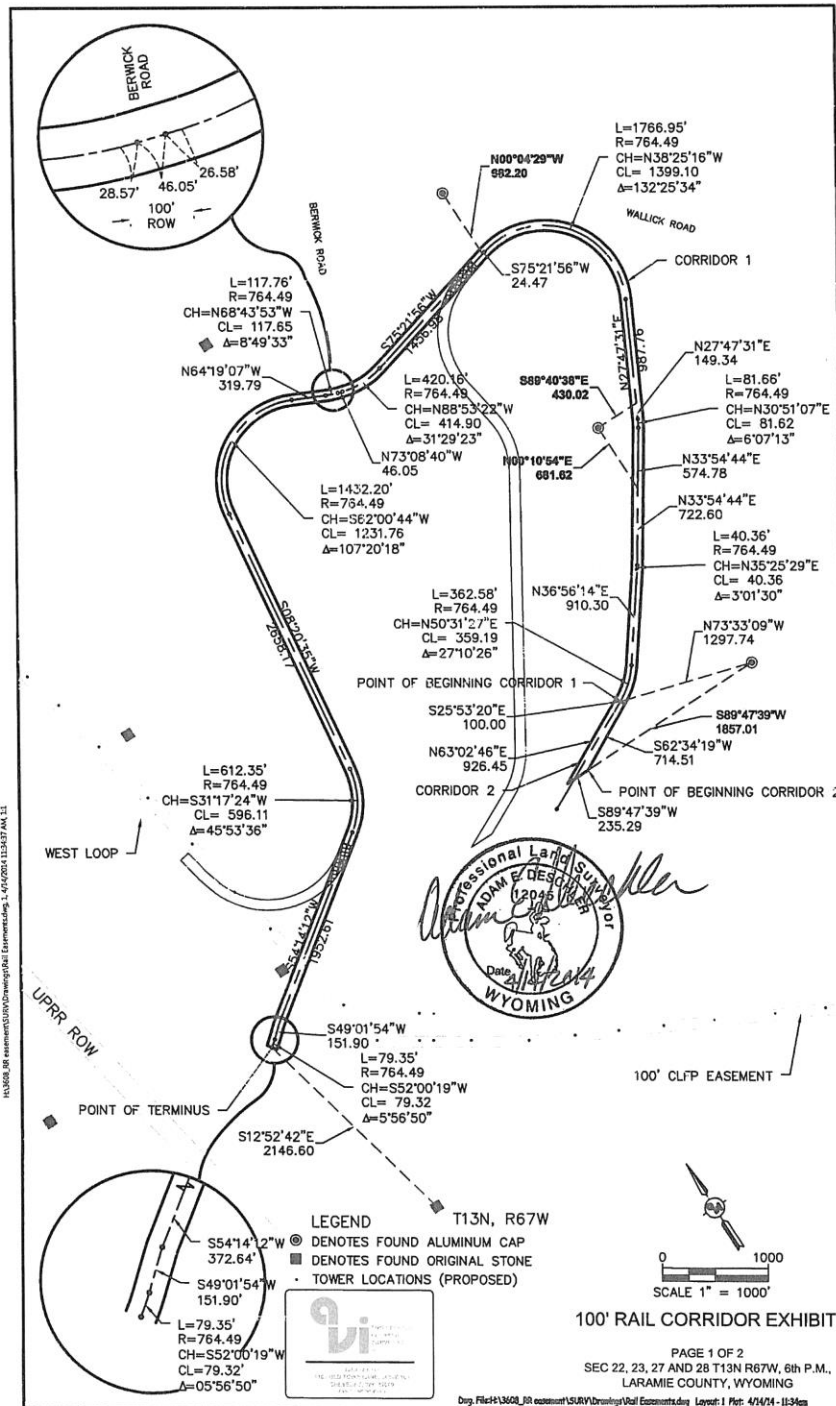
Coordinates and distances are based on the Wyoming East Plane Coordinate System (FIPZONE 4901) NAD 83 - 1992 Adjustment. Labeled plat and plan data (coordinates, curve data, bearings, distances and stationing) are grid based, to obtain ground distances multiply plat and plan data by a project scale factor of 1.00035315981.

Parcels 2, 3, and 4:

Shown graphically and described respectively on Exhibits A, B, and C, which are attached hereto and made a part hereof by this reference. A portion of such lands are part of the following platted lots:

Lots 5 and 7, Block 1; Lots 9, Block 2; and Lots 4 and 5, Block 3, Swan Ranch Rail Park, 8th Filing, Laramie County, Wyoming. AND Lot 6, Block 1, Swan Ranch Rail Park, 4th Filing, Laramie County, Wyoming.

EXHIBIT A



LEGAL DESCRIPTION

CORRIDOR 1:

THE FOLLOWING IS A DESCRIPTION OF A 100 FOOT RAIL CORRIDOR EASEMENT BEING SITUATED IN A PORTION OF SECTIONS 22, 23, 27 AND 28 TOWNSHIP 13 NORTH RANGE 67 WEST OF THE SIXTH PRINCIPAL MERIDIAN, LARAMIE COUNTY, WYOMING, LYING 50 FEET EACH SIDE OF THE FOLLOWING DESCRIBED CENTERLINE:

COMMENCING AT THE SECTION CORNER COMMON TO SECTIONS 22, 23, 27 AND 28 T13N, R67W OF THE 6TH PRINCIPAL MERIDIAN. THENCE N73°33'09"W A DISTANCE OF 1287.74 FEET TO THE POINT OF BEGINNING; SAID POINT BEING THE BEGINNING OF A CURVE CONCAVE NORTHWEST; SAID CURVE HAVING A RADIUS OF 764.49 FEET, A CHORD BEARING OF N50°31'27"E, A CHORD DISTANCE OF 359.19 FEET AND A CENTRAL ANGLE OF 27°10'26", THENCE ALONG THE ARC OF SAID CURVE A DISTANCE OF 362.58 FEET TO A POINT; THENCE N36°58'14"E A DISTANCE OF 910.30 FEET TO A POINT, SAID POINT BEING THE BEGINNING OF A CURVE CONCAVE WEST; SAID CURVE HAVING A RADIUS OF 764.49 FEET; A CHORD BEARING OF N35°25'29"E, A CHORD DISTANCE OF 40.36 FEET AND A CENTRAL ANGLE OF 03°01'30"; THENCE ALONG THE ARC OF SAID CURVE A DISTANCE OF 40.36 FEET TO A POINT; THENCE N33°54'44"E A DISTANCE OF 722.60 FEET TO A POINT ON THE WEST LINE OF SAID SECTION 23; FROM WHICH THE WEST ONE-QUARTER OF SAID SECTION 23 BEARS N00°10'54"E A DISTANCE OF 681.62 FEET; THENCE CONTINUING N33°54'44"E A DISTANCE OF 574.78 FEET TO A POINT, SAID POINT BEING THE BEGINNING OF A CURVE CONCAVE NORTHWEST, SAID CURVE HAVING A RADIUS OF 764.49 FEET; A CHORD DIRECTION OF N30°51'07"E, A CHORD DISTANCE OF 81.62 FEET; AND A CENTRAL ANGLE OF 06°07'13", THENCE ALONG THE ARC OF SAID CURVE A DISTANCE OF 81.66 FEET TO A POINT; THENCE N27°47'31"E A DISTANCE OF 149.34 FEET TO A POINT ON THE SOUTH LINE OF THE NORTHWEST ONE-QUARTER OF SECTION 23; FROM WHICH THE WEST ONE-QUARTER CORNER OF SAID SECTION 23 BEARS S89°40'38"E A DISTANCE OF 430.02 FEET; THENCE N27°47'31"E A DISTANCE OF 987.76 FEET TO A POINT, SAID POINT BEING THE BEGINNING OF A CURVE CONCAVE SOUTHWEST, SAID CURVE HAVING A RADIUS OF 764.49 FEET, A CHORD BEARING OF N38°25'16"W, A CHORD DISTANCE OF 1399.10 FEET, AND A CENTRAL ANGLE OF 132°25'34", THENCE ALONG THE ARC OF SAID CURVE A DISTANCE OF 1766.95 FEET TO A POINT; THENCE S75°21'56"W A DISTANCE OF 24.47 FEET TO A POINT ON THE WEST LINE OF SAID SECTION 23; FROM WHICH THE NORTHWEST CORNER OF SAID SECTION 23 BEARS N00°04'29"W A DISTANCE OF 682.20 FEET; THENCE S75°21'56"W A DISTANCE OF 1456.98 FEET TO A POINT; SAID POINT BEING THE BEGINNING OF A CURVE CONCAVE NORTH; SAID CURVE HAVING A RADIUS OF 764.49 FEET, A CHORD BEARING OF N88°53'22"W, A CHORD DISTANCE OF 414.90 FEET AND A CENTRAL ANGLE OF 31°29'23"; THENCE ALONG THE ARC OF SAID CURVE A DISTANCE OF 393.58 FEET TO A POINT ON THE EAST RIGHT OF WAY LINE OF BERWICK ROAD; THENCE CONTINUING ALONG THE ARC OF SAID CURVE A DISTANCE OF 26.58 FEET TO A POINT; THENCE N73°08'40"W A DISTANCE OF 48.05 FEET TO A POINT, SAID POINT BEING ON THE BEGINNING OF A CURVE CONCAVE NORTH; SAID CURVE HAVING A RADIUS OF 764.49 FEET, A CHORD BEARING OF N68°43'53"W, A CHORD DISTANCE OF 117.65 FEET, AND A CENTRAL ANGLE OF 08°49'33", THENCE ALONG THE ARC OF SAID CURVE A DISTANCE OF 28.57 FEET TO A POINT ON THE WEST RIGHT OF WAY LINE OF BERWICK ROAD; THENCE CONTINUING ALONG THE ARC OF SAID CURVE A DISTANCE OF 89.19 FEET TO A POINT; THENCE N64°19'07"W A DISTANCE OF 319.79 FEET TO A POINT, SAID POINT BEING THE BEGINNING OF A CURVE CONCAVE SOUTH; SAID CURVE HAVING A RADIUS OF 764.49 FEET; A CHORD BEARING OF S62°00'44"W, A CHORD DISTANCE OF 1231.76 FEET AND A CENTRAL ANGLE OF 107°20'18", THENCE ALONG THE ARC OF SAID CURVE A DISTANCE OF 1432.20 FEET TO A POINT; THENCE S08°20'35"W A DISTANCE OF 2658.17 FEET TO A POINT, SAID POINT BEING THE BEGINNING OF A CURVE CONCAVE WEST; SAID CURVE HAVING A RADIUS OF 764.49 FEET, A CHORD DIRECTION OF S31°17'24"W, A CHORD DISTANCE OF 596.11 FEET AND A CENTRAL ANGLE OF 45°53'36", THENCE ALONG THE ARC OF SAID CURVE A DISTANCE OF 612.35 FEET TO A POINT; THENCE S64°14'12"W A DISTANCE OF 1952.61 FEET TO A POINT; THENCE S49°01'54"W A DISTANCE OF 151.90 FEET TO A POINT, SAID POINT BEING THE BEGINNING OF A CURVE CONCAVE WEST; SAID CURVE HAVING A RADIUS OF 764.49 FEET, A CHORD BEARING OF S52°00'19"W, A CHORD DISTANCE OF 79.32 FEET AND A CENTRAL ANGLE OF 05°56'50", THENCE ALONG THE ARC OF SAID CURVE A DISTANCE OF 79.35 FEET TO THE POINT OF TERMINUS, FROM WHICH THE WEST ONE-QUARTER CORNER OF SAID SECTION 27 BEARS S12°52'42"E A DISTANCE OF 2146.60 FEET.

SAID EASEMENT IS SUBJECT TO OTHER EASEMENTS OF RECORD AND CONTAINS 34.13 AC MORE OR LESS WITH A TOTAL LENGTH OF 14,868.12 FEET.

EASEMENT OVERLAP AREA = 32,574 SQ. FT.

CORRIDOR 2:

AND ALSO THE FOLLOWING IS A DESCRIPTION OF A RAIL CORRIDOR EASEMENT BEING SITUATED IN A PORTION OF SECTION 22, TOWNSHIP 13 NORTH RANGE 67 WEST OF THE SIXTH PRINCIPAL MERIDIAN, LARAMIE COUNTY, WYOMING

COMMENCING AT THE SECTION CORNER COMMON TO SECTIONS 22, 23, 27 AND 28 T13N, R67W OF THE 6TH PRINCIPAL MERIDIAN. THENCE ALONG THE SOUTH LINE OF SAID SECTION 22 S89°47'39"W A DISTANCE OF 1857.01 FEET TO THE POINT OF BEGINNING; SAID POINT BEING ON THE NORTHEAST CORNER OF LOT 6, BLOCK 1 OF SWAN RANCH RAIL PARK FOURTH FILING; THENCE S89°47'39"W A DISTANCE OF 235.29 FEET TO A POINT, SAID POINT BEING ON THE NORTHWEST CORNER OF LOT 6, BLOCK 1 OF SWAN RANCH RAIL PARK FOURTH FILING; THENCE N63°02'46"E A DISTANCE OF 926.45 FEET; THENCE S25°53'20"E A DISTANCE OF 100.00 FEET TO A POINT; THENCE S62°34'19"W A DISTANCE OF 714.51 FEET MORE OR LESS TO THE POINT OF BEGINNING.

SAID EASEMENT IS SUBJECT TO OTHER EASEMENTS OF RECORD AND CONTAINS 1.95 AC MORE OR LESS.

BASIS OF BEARINGS

COORDINATES AND DISTANCES ARE BASED ON THE WYOMING EAST STATE PLANE EAST ZONE COORDINATE SYSTEM (FIPZONE 4901) NAD 83 - 1992 ADJUSTMENT. LABELED PLAT AND PLAN DATA (COORDINATES, CURVE DATA, BEARINGS, DISTANCES AND STATIONING) ARE GRID BASED. TO OBTAIN GROUND DISTANCES MULTIPLY PLAT AND PLAN DATA BY A PROJECT SCALE FACTOR OF 1.00035315981. THE BASIS OF BEARINGS IS GEODETIC, BASED ON RTK GPS MEASUREMENTS USING A LEICA MODEL 1200 GPS SURVEYING SYSTEM, WITH A BEARING OF N89°47'39"E, AS SHOWN HEREON ALONG THE NORTH LINE OF SECTION 27.



100' RAIL CORRIDOR EXHIBIT

PAGE 2 OF 2
SEC 22, 23, 27 AND 28 T13N R67W, 6th P.M.,
LARAMIE COUNTY, WYOMING

Dwg. File: H:\3608_01 easement\SURV\Drawings\Rail Easements.dwg Layout: 2 Plot: 4/14/14 - 11:34am

EXHIBIT B

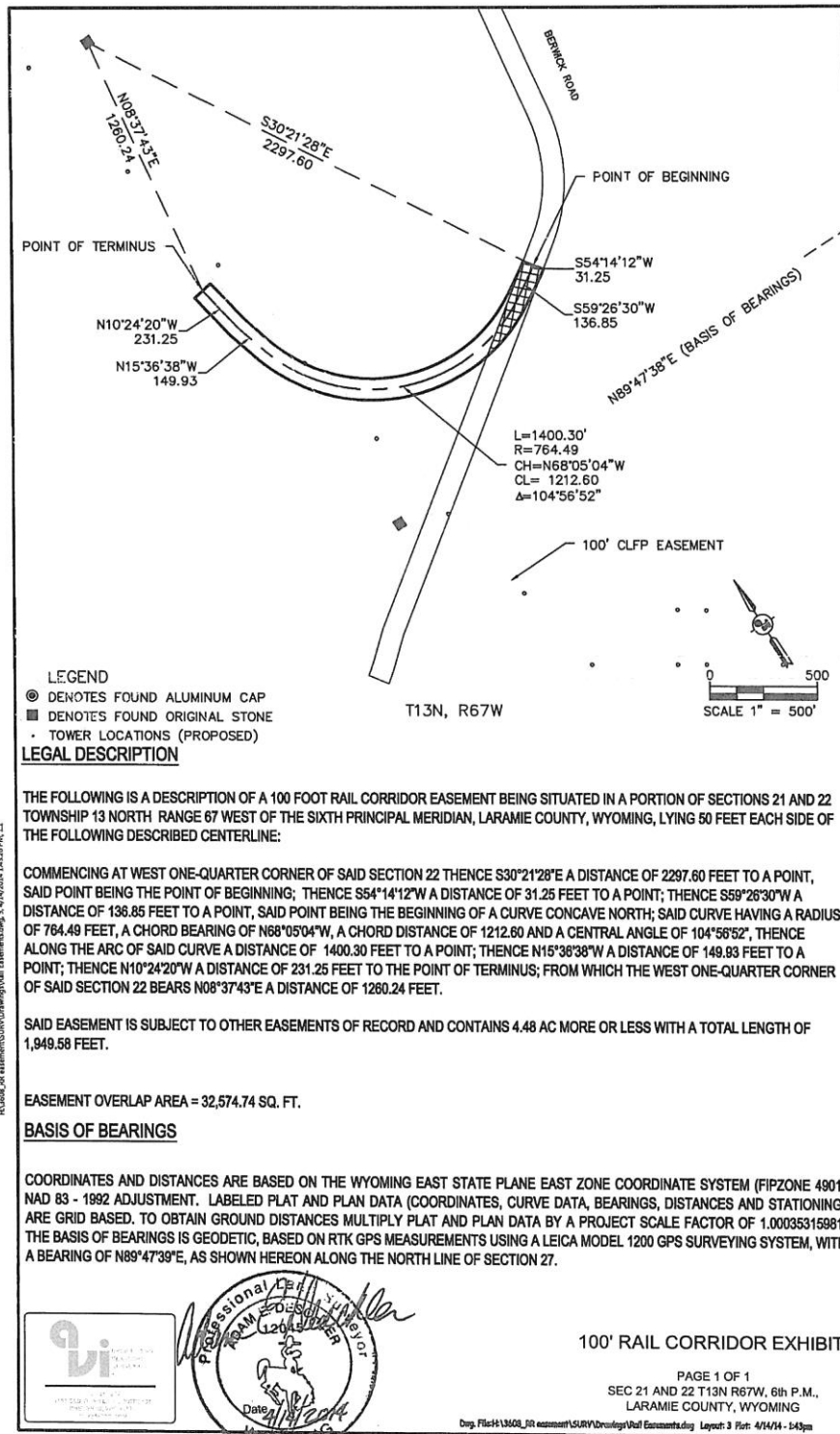
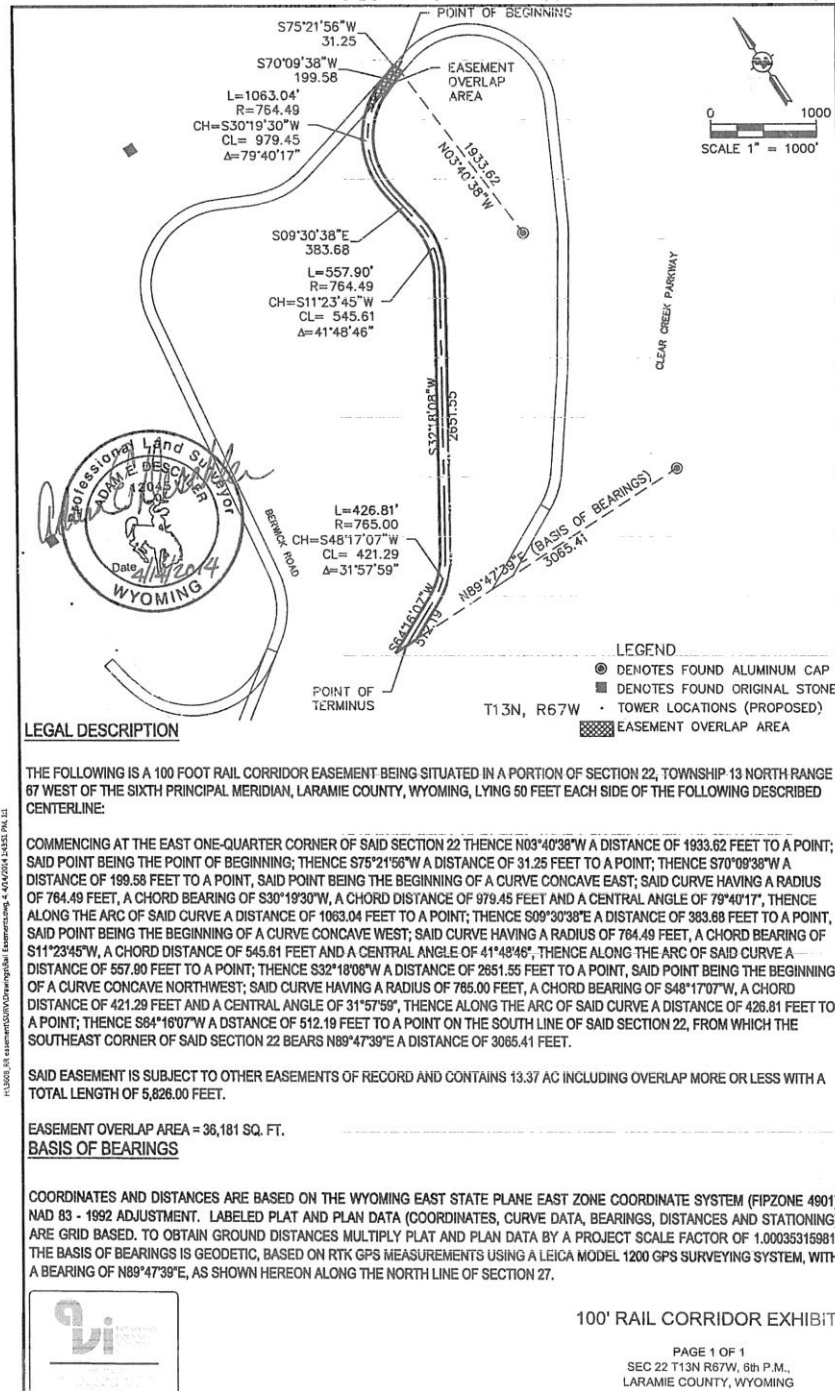


EXHIBIT C



SCHEDULE 2

DESCRIPTION OF THE COLLATERAL

(1) All tangible personal property, fixtures, leasehold improvements, trade fixtures, equipment, and other personal property used or related to the Property now owed or at any time in the future owned by the City or in which the City has any interest, including (without limitation) rail ties, rails, spikes, insulators, rail pads, rail plates, rail feet, screws, bolts, clips, clamps, shoulders, heels, knuckles, noses, wings, frogs, guard rails, connecting rods, anchors, tie plates, track ballast and sub-ballast, blankets, subgrades, drains, foundation, switch points, switches, switch stands, and switch rods that tie into the Union Pacific Railroad's West Loop track, throws, lenses, semaphore arms, stops, sidings, rail spurs, and all related rail equipment now or hereafter installed or otherwise located or used at, on, from, or in the Property;

(2) all contract rights, intellectual property, plans and specifications, and other general intangibles relating to or arising therefrom, including (without limitation) all rights under the Development Agreement, the Rail Assignment, the Rail Easement Agreement, the Track Lease, the Granite Note, construction and engineering contracts, rights to cross existing easements;

(3) all cash and non-cash proceeds (including insurance proceeds) thereof; and

(4) all products thereof and additions and accessions thereto, substitutions therefor and replacements thereof.

The Collateral shall not include switches constructed that will connect the rail line to developed lots in the Swan Ranch Rail Park, Cheyenne, Laramie County, Wyoming.

The "Property" is described on Schedule 1 to this Loan Agreement.

Capitalized terms are defined in this Loan Agreement.